

Town of Westhampton
Town Hall
1 South Road
Westhampton, MA 01027

Finance Committee Meeting Minutes
Tuesday, April 7, 2015

The meeting convened at 6:45 PM

Present:

Finance Committee Members: Ellice Gonzalez, Jackie Brodeur, Mary Cleary, Tom Cleary, Jr., Maryanne Duggan, Aniko Giordano, Margaret Parsons, Joseph Pipczynski, Celeste Whiting.

Also present: Chris Norris, John Bridgman, Bob Miller, Cheryl Provost.

1. Reviewed minutes of 3/31/15. Accepted 8-0-0.

2. Old Business:

The school committee provided FinCom with updated pie charts and funding sources breakdown information for FY16.

We will need a temporary minute taker for next week's meeting. Aniko has agreed to take the minutes. Thank you.

3. Cheryl reported that the Selectboard in its recent discussions with the town's financial advisor has determined that the town needs to conduct annual audits. In order to do this, they need to increase the audit line from \$7,000 to \$14,000.

4. Fire Department: Chris Norris presented the budget along with input from John Bridgman and Bob Miller. Chris explained the increases in the fire department's budget. Vehicle repair/maintenance and equipment repair/maintenance constitute the largest increases in the budget. The increases are due to the maintenance needs of the tanker truck, the rebuild of Engine 2's pump, service and testing for various gear, a new 35' ladder and changes in NFPA standards.

Chris has applied for two grants that are currently pending. There is a grant request for a tanker truck replacement in the amount of \$238,000 (of which 226,000 would be awarded requiring at least a 5% match from the town). Recent estimates for replacement tanker trucks indicate that the current cost of the tanker is closer to \$288,000, requiring a larger contribution from the town (approx. \$61,000). Chris reports that the grantees award based on cost-to-impact ratio using data of population, number of calls, etc. Given this, the larger the town match amount is, the better the chances of receiving the grant.

The second pending grant is for 6 sets of turnout gear for the amount of \$16,200. This would require at least a 5% match from the town. Given the parameters of the grant, it would be prudent of the town to contribute \$5,000 in a match to increase our chances of receiving the funds.

We will table the safety complex feasibility study so that we may put together a building study committee to determine what we need in terms of location, whether to combine police and fire or any other town organization, etc.

Chris also noted that the fire department needs a FY16 transfer of \$1,700 to cover the cost of repairs made to the fire engine on 9/25/14.

5. Emergency Medical Services: Bob Miller presented the EMS budget. This budget reflects the recently employed Westhampton ambulance. There is an increase in intercept fees to cover the lag time between service and when the invoices are paid. Once the Advanced Life Support intercept fees are established, it should work more like a revolving fund where we take in funds from billing for ALS intercept. We should see those fees (covering some of the ambulance costs) in FY17. We no longer pay Northampton a \$20,000 retainer for their ambulance service.

6. Town Budget Deliberations:

We began deliberations with budget deficit of \$340,731.

We should note at the beginning of Town Meeting that budget requests for most of the operating expenses exceed a 2 1/2% increase. There are costs and fees that we cannot control. This makes for a very difficult budget process when we must balance a budget reflecting expenses that exceed the tax rate increase.

Note: Next year, we must request the yearly expense report from the accountant at the beginning of the budget process. Margie had been tasked with this previously.

Revenues:

In discussion with the assessor, we raised the New Growth estimates from \$30,000 to \$35,000. We changed the estimated local receipts from \$331,000 to \$345,000. We determined that we could use \$114,500 of Free Cash to put toward balancing the budget (saving \$75,000). We determined that we could request \$30,730 in funds from the Overlay Surplus. We will need to request this amount to be released from the assessors.

We discussed the town budget line-by-line to determine ways we could modify to balance the budget.

General Government:

We changed line item 1 Counsel Fees from \$20,000 to \$15,000.
We held line item 9 and voted to approve lines 1-23 as they stood: 9-0-0.

Highways:

We modified line 28 Highway Materials from \$89,000 to \$88,000.
We modified line 31 Snow Removal from \$102,000 to \$85,000.
We modified line 33 Transfer Station Expenses from \$60,514 to \$55,514.
We approved lines 25-33 as modified: 9-0-0.

Schools and Libraries:

We noted the significant increase in Vocational Tuition. We modified line item 38 Vocational Tuition from \$376,460 to \$356,460.
We noted that the elementary school received a 12% increase last year including the amount voted in the override. We voted to limit the increase to 2 1/2% this year. We modified line 40 Elementary School from \$1,566,543 to \$1,520,567. We approved lines 35-42 as modified: 9-0-0.

Veterans and Cemeteries:

We approved lines 44-51 as they stand: 9-0-0.

Protection of Persons and Property:

We discussed the large percentage increase requested by the Fire Department. Given that most of the increase reflect mandated fees and essential repairs and inspections we did not modify the amount. We approved lines 52-72: 9-0-0.

Debt and Interest:

We approved lines 73-75: 9-0-0.

Unclassified:

We modified line 90 OPEB Trust Fund from \$5,000 to \$2,000. We approved lines 78-92 as modified: 9-0-0.

Non-Operating (Capital):

We modified line 97 Town Hall Paint from \$30,000 to \$0. Given the severe imbalance in the budget, we determined that we must wait a year to paint the Town Hall.
We discussed the funds, pending grant and need for a tanker truck. We discussed the possibility of an override vote for the tank truck matching funds, however, it is not possible to request an override for a pending grant. We finally decided to include the

\$30,000 for the tanker truck in the budget with cuts in other areas and the request for a general override. We approved lines 97-99 as modified: 9-0-0.

Line 9 (previously held):

We modified line 9 Audit from \$7,000 to \$14,000. We approved line 9 as modified: 8-0-1.

After much deliberation and budget modifications we had a remaining budget deficit of approximately \$50,000. With appropriate calculations to cover what we determine to be all essential expenses, we recommended to request a general override of the amount of \$39,667 to balance the budget. We approved this 9-0-0.

7. We voted to approve a request for transfer from the reserve fund to the fire department for the amount of \$1,700 to repair the pump: 9-0-0.

8. Next week we will meet at 7:00 pm on 4/14/15.

The meeting adjourned at 10:30 pm.

Respectfully Submitted by Mary Cleary